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THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Dr.
Agostino Ghiglia and Attorney Guido Scorza, Members, and
Secretary General Fabio Mattei;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016 (hereinafter, "Regulation");

HAVING REGARD to the Code regarding the protection of personal data, containing provisions for the adaptation of the national legal system to Regulation (EU) 2016/679 (Legislative Decree of June 30, 2003, No. 196, as amended by Legislative Decree of August 10, 2018, No. 101, hereinafter "Code");

HAVING REGARD to the complaints submitted pursuant to Article 77 of the Regulation by Ms. XX, XX, and XX against Encore Thermoengineering s.r.l.;

HAVING EXAMINED the documentation on file;

HAVING REGARD to the observations made by the Secretary General pursuant to Article 15 of the Guarantor's Regulation No. 1/2000;

REPORTING Prof. Ginevra Cerrina Feroni;

PREMISED

1. The initiation of the preliminary investigation following the submission of complaints.

With the complaints submitted to this Authority on 03/11/2021, 12/11/2021, and 17/11/2021, Ms. XX, XX, and XX complained of a violation of the regulations regarding the protection of personal data by Encore Thermoengineering s.r.l. (hereinafter "the Company"), particularly regarding the inadequate response to the requests for the exercise of rights made by the complainants, pursuant to Articles 15 et seq. of the Regulation.

In particular, the complainants stated that they had been employees of the (bankrupt) company XX, whose business branch had been purchased by the Company along with the domain @thermoeng.it, and that they had become aware of the ongoing activation of their individualized email accounts used in the context of their employment with XX.

In response to the request made to the Company to obtain confirmation of the ongoing processing related to the email accounts, to receive a copy of the correspondence in transit, and for their deletion (requests dated 13/10/2021), the Company declared that:

- "the reference domain of the email of the bankrupt company, XX, was transferred to this Company as part of the business branch transfer agreement signed with the bankruptcy trustee in November 2020";
- "from that date, the email communications addressed to the indicated domain legitimately enter our availability, regardless of the username, considering that the communications addressed to that domain have (...) relevance to the activities carried out by the business branch that was transferred to us";
- the Company "cannot in any way intervene, for example, by deactivating them, on the mailboxes that the previous IT service provider of the bankrupt company XX had previously activated, having had no contractual relationship with him".

By note dated 24/01/2022, the Office made a request for information, pursuant to Article 157 of the Code, to the Company, asking for suitable evaluation elements regarding what was reported, particularly concerning the status of the email accounts assigned to the complainants.

The Company responded with a note dated 21/02/2022, in which it stated, preliminarily, that it had

never had any employment relationship with the complainants, who were employees of Thermoengineering s.r.l. (declared bankrupt by the Court of Milan with XX).

They had then started working for another company that engaged in competing activities, highlighting the particularly hostile context in which the complaints were presented. In any case, as far as this Authority is concerned, the Company stated that:

- "As a result of the contract [for the transfer of the business branch] of November 30, 2020, Encore Thermoengineering S.r.l. acquired from the Bankruptcy Trustee, among other things, the ownership of the servers of the bankrupt XX and the domain @thermoeng.it. As far as we know, this last domain was managed by the bankrupt company through an email manager residing on a virtual server (...) in its data processing center in Milan (...), which in turn received the mail from a cloud server that operated as an anti-spam service, based on a contract signed with XX";

- "this last company deactivated the anti-spam service in September 2020 (...). Once the service was deactivated, the flow of all mail with the domain indication '@thermoeng.it' was interrupted: this is because the anti-spam service (...) no longer delivered emails to the email manager of XX, effectively rendering the mailboxes 'no longer operational'";

- "When Encore Thermoengineering was delivered the assets subject to the contract signed with the Bankruptcy Trustee, it emerged that the mail servers, which had remained inactive during the bankruptcy, were no longer operational, and that it was useless and uneconomical to restore the old mail. (...) This assessment of uneconomicality was further supported by the fact that Encore Combustion LLC, a company that controls the entire capital of Encore Thermoengineering S.r.l., has granted each of our

Employee and collaborator the use of a Microsoft Office 365 account, inclusive of email box, belonging to the group domain @encorecombustion.com;

- "However, there was a need to receive requests for quotations and for maintenance interventions, which the same clientele could send to the accounts of the domain @thermoeng.it, not being fully informed of the bankruptcy of XX (...). Since the mailboxes belonging to the domain @thermoeng.it were no longer operational, it was deemed appropriate to configure the system so that messages sent to the domain @thermoeng.it were redirected to the single email address infoete@encorecombustion.com, created ad hoc and accessible only to the CEO of Encore Thermoengineering";

- "To date, Encore Thermoengineering has no possibility of using the individual mailboxes of the domain @thermoeng.it (and therefore cannot delete them), but can only receive via the account infoete@encorecombustion.com the messages that customers send to the old addresses of the bankrupt company";

- "The data related to the emails transferred from the Bankruptcy of XX to Encore Thermoengineering prior to the business transfer agreement are not available online and are not processed. They are stored on company servers, are not readable as such by users of the corporate network, and would only be accessible through specific requests and inquiries addressed to the company IT manager (...). The consultation is aimed exclusively at recovering information and data related to business orders and customer relations, not otherwise obtainable."

In light of the statements made by the Company, a new request for information was formulated pursuant to Article 157 of the Code (note of 24/05/2022), to which the Company responded with the note of 23/06/2022.

In this circumstance, the Company represented that:

- the email account infoete@encorecombustion.com, to which communications addressed to the domain @thermoeng are directed, "was activated on 26/03/2021 and is still operational";

- "Access to the account is reserved for the ... CEO; messages related to business activities, of a technical or commercial nature, are retained indefinitely, just like any other paper or electronic correspondence related to business activities; other messages are immediately deleted";

- "the company has the old email server, from which it would be possible, upon restoration, to recover the contents of the corporate email boxes pertaining to the domain thermoeng.it; there is also a single backup of the mailboxes of the domain thermoeng.it, updated to May 2020; since this documentation pertains to the contracts (and contacts) in which it has succeeded and the technical and commercial

elements of the business acquired from the Bankruptcy, the material is retained without specific time limits.”

****2.** The initiation of the procedure for the adoption of corrective and sanctioning measures by the Authority.**

The Office, in light of the above, proceeded to notify the Company of the act initiating the sanctioning procedure, pursuant to Article 166, paragraph 5, of the Code (note of 14/10/2022), for the violation of Articles 5, paragraph 1, letters a), c) and e), 6 and 17 of the Regulation.

The Company, on 21/11/2022, sent its defensive memoranda based on Article 18 of Law No. 689/1981, in which it observed that:

- “it did not decide to retain indefinitely the emails that have been transmitted to it, but to keep them for a period consistent with the technical-commercial needs related to ongoing market relations”;
- “it expresses its availability and intention to arrive in the shortest possible time (...) at the deletion of the data of the individual email boxes that refer to natural persons related to the domain of the bankrupt XX and prior to the last three years from today’s date or to a different date deemed compatible by this Authority, which have a technical-commercial nature related to the activity of the bankrupt, or that are essential for the protection of the rights of the undersigned in judicial proceedings currently underway or to be initiated.”

During the hearing on 21/10/2024, the Company clarified that a judicial proceeding is still ongoing before the Court of Milan against Thermo Europe s.r.l., a company where the claimants are currently employed, for unfair competition activities.

Regarding the email archives, the Company represented that “The content of the archives consists of ‘anonymous’ (non-individualized) email boxes, created by XX ad hoc for each order with a reference number. The archive contains some individualized email boxes, which have exclusively evidentiary value in the ongoing process.”

Regarding the automatic forwarding of correspondence to the email address infoete@encorecombustion.com, “this activity is necessary to allow the resumption and recovery of commercial relations with the customers of the bankrupt XX and will likely continue for a few more years.”

****3.** The outcome of the investigation and the procedure for the adoption of corrective measures.**
sanctioning authorities referred to in Article 58, paragraph 2, of the Regulation.

As a result of the examination of the statements made by the party during the proceedings, as well as the documentation acquired, it has been established that the Company, identified as the data controller pursuant to Article 4, no. 7, of the Regulation, based on the determinations it makes regarding the purposes and methods of the ongoing processing, has carried out certain processing operations that are not compliant with the regulations on personal data protection.

In this regard, it is highlighted that, unless the act constitutes a more serious offense, anyone who, in a proceeding before the Guarantor, falsely declares or certifies news or circumstances or produces false acts or documents is liable under Article 168 of the Code “Falsehood in declarations to the Guarantor and interruption of the execution of the tasks or the exercise of the powers of the Guarantor.”

3.1 Violation of Article 5, paragraph 1, letters a), c) and e), 6 of the Regulation.

First of all, it has been established that the Company, having lawfully come into possession of the server and the email domain @thermoeng, following the acquisition of the business branch of the bankrupt XX, continued to process the data contained in the email accounts of the former employees of the bankrupt company (partly anonymized and partly associated with the names of the former employees), through the retention, without time limits, of both the server and the backup and the consequent consultation of the messages, at the request of the company's administrators and the IT manager, in order to allow the recovery of information and contacts necessary for business activities. In light of the above, it should be emphasized, in general, that the content of email messages, as well as the external data of communications and attached files, concerns forms of correspondence protected by guarantees of confidentiality that are also constitutionally safeguarded (see Articles 2 and 15 of the Constitution), the rationale of which lies in protecting the essential core of human dignity and

the full development of personality in social formations.

Consistent with this approach, the Authority has adopted several measures, both general and related to specific investigations particularly concerning employment relationships (see measure no. 13 of 01/03/2007, web doc no. 1387522, titled "Guidelines for email and internet"; measure no. 263 of 22/06/2023, web doc no. 9920814; among the latest, measure no. 771 of 12/12/2024, web doc no. 10096474) in which it has prescribed to data controllers the necessary obligations to ensure the confidentiality of the data subjects and the respect of fundamental principles regarding personal data protection, in the processing of data related to communications sent and received by the worker at the corporate email account.

Although in this specific case, the processing carried out by the Company does not concern data related to workers, since the access and retention of correspondence pertains to email accounts of individuals who are not employees of the Company (but employees of XX - the bankrupt company), this circumstance does not exempt Encore Thermoengineering s.r.l. from compliance with the principles regarding personal data protection to which it must conform the processing operations carried out on the individualized email accounts contained in the servers and belonging to the domain of which it has acquired full availability, as a result of the transfer of the business branch, thus becoming, for all intents and purposes, the data controller of the data connected to them.

In particular, the retention, without time limits, of the data contained in the server and in the backup, among which are also the email messages pertaining to the domain @thermoeng, including therefore also individualized accounts (messages received before the transfer of the business branch) is a processing operation that is excessive and disproportionate, in relation to the commercial purposes that the Company intends to achieve.

Regarding this circumstance, it is noted the intention, expressed by the Company during the hearing, to proceed with the deletion of the correspondence present on the individualized accounts, at the end of the pending judgment before the Court of Milan.

This is also in light of the provision of Article 160-bis of the Code ("The validity, effectiveness, and usability in judicial proceedings of acts, documents, and measures based on the processing of personal data not compliant with legal or regulatory provisions remain governed by the relevant procedural provisions").

In any case, at this point, it should be noted that the retention without time limits of the correspondence present on the individualized accounts and the consequent consultation of the email messages in order to obtain information necessary to ensure the continuity of business activities are processing operations carried out in the absence of an adequate legal basis pursuant to Article 6 of the Regulation and contrary to the principles of data minimization and limitation of retention (Article 5, paragraph 1, letters c) and e) of the Regulation (see also measures no. 216 of 04/12/2019, web doc no. 9215890, no. 53 of 01/02/2018, web doc no. 8159221).

Such conduct is also relevant from the perspective of security in the management of document flows. On this specific aspect, the Authority has clarified that "the legitimate need to ensure...

****the preservation of documentation necessary for the ordinary conduct and continuity of business activities, also in relation to relationships with private and public entities, as well as based on specific provisions of the legal framework, is ensured, primarily, by the preparation of document management systems through which - by adopting appropriate organizational and technological measures - to identify the documents that during the course of work activities must be archived in a manner suitable to guarantee the characteristics of authenticity, integrity, reliability, readability, and retrievability prescribed by the applicable sector regulations. Email systems, by their very nature, do not allow for the assurance of such characteristics**** (see provision no. 263 of 22/06/2023, web doc no. 9920814, provision no. 53 of 01/02/2018, web doc no. 8159221, and provision no. 214 of 29/10/2020, web doc 9518890).

****This is also based on the assumption that the exchange of electronic correspondence, whether related to work activities or not, on an individualized corporate account constitutes an operation that allows for the knowledge of certain personal information related to the data subject and to third-party senders of communications whose expectation of confidentiality is, in the specific case, not adequately**

protected** (see "Guidelines of the Guarantor for email and Internet," cited, specifically point 5.2, letter b).

****3.2 Violation of Art. 5, par. 2, letter c, of the Regulation.****

****It is also noted that the Company has further processed data through an automatic forwarding system for correspondence addressed to the @thermoeng domain, introduced as of 26/03/2021 and still ongoing. This system, according to statements made, would allow the Company to retain messages strictly related to business activities and to delete those of a non-professional nature, in order to ensure continuity in the conduct of the activity itself and is expected to continue for a few more years** (see hearing minutes). **It emerges, therefore, that the Company is still able to view all correspondence that continues to transit through the email with the @thermoeng domain and to identify emails that are not related to professional activities. The above-described procedure constitutes a processing of personal data that is contrary to the principle of data minimization as per Art. 5, par. 1, letter c), of the Regulation, since the data controller must process only data that is "adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed."****

****In accordance with what the Guarantor has established in similar cases** (see provision no. 40 of 24/01/2024, web doc no. 9993105; no. 171 of 27/04/2023, web doc no. 9909235), **the (legitimate) purpose of restarting and recovering business relationships and thus maintaining contacts with its customers could be pursued with less invasive treatments also to protect third parties and, therefore, in compliance with data protection regulations, compared to what was implemented in the specific case. The Guarantor has, for example, in the context of employment relationships, deemed it compliant with the principles of necessity and minimization that the data controller, after the termination of the employment relationship, proceed to remove the account after deactivating it and simultaneously adopting automatic systems aimed at informing third parties and providing them with alternative addresses related to his professional activity** (see, among others, provision no. 68 of 09/03/2023, web doc no. 9877754).**

****3.3 Violation of Art. 17 of the Regulation.****

****In light of the above, it is believed that the requests to exercise rights submitted by the complainants pursuant to Arts. 15 et seq. of the Regulation have not received adequate responses from the Company. In fact, based on what is reported in the documents, it appears that the Company still holds the content of the individualized email accounts associated with the complainants and pertaining to the previous business management, stored both on the server and in backup, and is able to access their content. Therefore, given the provision of Art. 17 of the Regulation, according to which "the data subject has the right to obtain from the data controller the erasure of personal data concerning him or her without undue delay, and the data controller has the obligation to erase personal data without undue delay," where one of the reasons indicated in par. 1, letters a-f, of the same article exists, it is established that the Company has not proceeded to erase the data of the complainants in its possession.****

****4. Conclusions: declaration of unlawfulness of the processing. Corrective measures pursuant to Art. 58, par. 2, of the Regulation.****

****For the aforementioned reasons, the Authority believes that the statements made by the data controller during the investigation do not allow for overcoming the objections notified by the Office with the initiation of the procedure and are therefore inadequate to allow for the archiving of this procedure, nor do any of the cases provided for by Art. 11 of the Guarantor's Regulation no. 1/2019 apply in relation to these profiles. It is reminded that, pursuant to Art. 160-bis of the Code, "The validity, effectiveness, and usability in judicial proceedings of acts, documents, and provisions based on the processing of personal data not compliant with legal or regulatory provisions remain governed by the relevant procedural provisions."****

The processing of personal data carried out by Encore Thermoengineering s.r.l. is deemed unlawful, as outlined above, since it was conducted in violation of Articles 5, paragraph 1, letters a), c), e), 6, and 17 of the Regulation. The violation established in the terms stated in the reasoning cannot be

considered "minor," taking into account the nature of the violation concerning the exercise of the rights of the data subject, the severity and duration of the violation itself, the degree of responsibility, and the manner in which the supervisory authority became aware of the violation (see Recital 148 of the Regulation).

Given the corrective powers conferred by Article 58, paragraph 2, of the Regulation, it is deemed necessary to prescribe the following corrective measure to bring the processing of personal data, carried out through an automatic redirection system of correspondence addressed to the domain @thermoeng, into compliance with the provisions and principles regarding the protection of personal data.

Finally, it is considered that the conditions set forth in Article 17 of the Garante Regulation No. 1/2019 apply.

5. Adoption of the injunction order for the application of the administrative pecuniary sanction and ancillary sanctions (Articles 58, paragraph 2, letter i), and 83 of the Regulation; Article 166, paragraph 7, of the Code).

As a result of the proceedings, it is established that Encore Thermoengineering s.r.l. has violated Articles 5, paragraph 1, letters a), c), and e), 6, and 17 of the Regulation. For the violation of the aforementioned provisions, the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, letter a), of the Regulation is foreseen.

The Garante, pursuant to Article 58, paragraph 2, letter i) of the Regulation and Article 166 of the Code, has the power to impose an administrative pecuniary sanction as provided for by Article 83 of the Regulation, through the adoption of an injunction order (Article 18, Law No. 689 of November 24, 1981), in relation to the processing of personal data carried out by Encore Thermoengineering s.r.l., which has been established as unlawful, as stated above.

It is deemed necessary to apply paragraph 3 of Article 83 of the Regulation, which provides that "If, in relation to the same processing or related processing, a data controller [...] violates, with intent or negligence, various provisions of this regulation, the total amount of the administrative pecuniary sanction shall not exceed the amount specified for the most serious violation," the total amount of the sanction is calculated so as not to exceed the maximum penalty provided for by the same Article 83, paragraph 5.

With reference to the elements listed in Article 83, paragraph 2, of the Regulation for the application of the administrative pecuniary sanction and its quantification, considering that the sanction must "in any case [be] effective, proportionate, and dissuasive" (Article 83, paragraph 1 of the Regulation), it is represented that, in this case, the following circumstances have been considered:

- Regarding the nature, severity, and duration of the violation, the nature and duration of the violation concerning the general principles of processing, particularly the principles of minimization and limitation of storage, which are still ongoing, as well as the inadequate response to the request for the exercise of rights, have been deemed relevant;
- Regarding the intentional or negligent nature of the violation and the degree of responsibility of the controller, the collaborative conduct of the Company has been taken into account;
- In favor of the party, the absence of previous violations concerning the protection of personal data has been considered.

It is also believed that the economic conditions of the offender, determined based on the company's turnover as per the financial statements for the year 2023, are relevant in this case, considering the aforementioned principles of effectiveness, proportionality, and dissuasiveness to which the Authority must adhere in determining the amount of the sanction (Article 83, paragraph 1, of the Regulation).

In light of the above elements and the assessments made, it is deemed appropriate, in this case, to impose on Encore Thermoengineering s.r.l. the administrative sanction of payment of an amount equal to €20,000.00 (twenty thousand).

In this context, it is also considered that, pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Garante Regulation No. 1/2019, the publication of this section containing the injunction order on the Garante's website should proceed.

This is in consideration of the particularly harmful conduct to the rights of the data subject, which occurred in violation of the general principles regarding the protection of personal data.

ALL OF THE ABOVE CONSIDERED, THE Garante, pursuant to Article 57, paragraph 1, letter f), of the Regulation, notes the unlawfulness of the processing carried out by Encore Thermoengineering s.r.l., represented by the legal representative pro tempore, with registered office in Milan, Via San Damiano No. 9, Tax Code 11474720965, for the violation of Articles 5, paragraph 1, letters a), c), e), 6, and 17 of the Regulation;

pursuant to Article 58, paragraph 2, letter g), of the Regulation, orders the Company to delete the data related to the individualized email accounts stored on the server and on the backup, except for their retention for the exclusive purpose of protecting rights in judicial proceedings, for the time necessary for that purpose, within the limits of Article 160-bis of the Code;

pursuant to Article 58, paragraph 2, letter d) of the Regulation, orders the Company to comply, within 60 days from the receipt of this provision, with the further processing of data carried out through the automatic forwarding of email messages to the principles regarding the protection of personal data, as indicated in the reasoning, providing within the aforementioned term, an adequately motivated response pursuant to Article 157 of the Code; any failure to respond may result in the application of the administrative monetary sanction provided for by Article 83, paragraph 5, letter e) of the Regulation;

ORDERS

pursuant to Article 58, paragraph 2, letter i) of the Regulation the same Company to pay the sum of €20,000.00 (twenty thousand) as an administrative monetary sanction for the violations indicated in this provision;

ORDERS

therefore the same Company to pay the aforementioned sum of €20,000.00 (twenty thousand), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts pursuant to Article 27 of Law No. 689/1981.

It is noted that pursuant to Article 166, paragraph 8 of the Code, the possibility remains for the offender to settle the dispute by paying - always according to the methods indicated in the annex - an amount equal to half of the imposed sanction within the term referred to in Article 10, paragraph 3, of Legislative Decree No. 150 of September 1, 2011, provided for the submission of the appeal as indicated below.

DISPOSES

pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Regulation of the Guarantor No. 1/20129, the publication of the injunction order on the Guarantor's website;

pursuant to Article 154-bis, paragraph 3, of the Code and Article 37 of the Regulation of the Guarantor No. 1/20129, the publication of this provision on the Guarantor's website;

pursuant to Article 17 of Regulation No. 1/2019, the annotation of the violations and the measures adopted in accordance with Article 58, paragraph 2 of the Regulation, in the internal register of the Authority provided for by Article 57, paragraph 1, letter u) of the Regulation.

Pursuant to Article 78 of the Regulation, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be made to the ordinary judicial authority, with an application filed at the ordinary court of the place identified in the same Article 10, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, March 13, 2025

THE PRESIDENT

Stanzione

THE REPORTER

Cerrina Feroni

THE SECRETARY GENERAL

Filippi